



NEWS RELEASE

FOR IMMEDIATE RELEASE

Contura Announces Results for the Period from July 26, 2016 to September 30, 2016¹

BRISTOL, TN, November 29, 2016 - Contura Energy, Inc., a leading U.S. coal supplier, today reported results for the period from July 26, 2016 to September 30, 2016.

Highlights for the reported period include:

- ***Net Loss of \$51 million on revenue of \$245 million***
- ***Adjusted EBITDA \$26 million***
- ***Well-capitalized balance sheet, including unrestricted cash of \$72 million***
- ***Successfully completed the acquisition of high quality coal assets in Central Appalachia, Northern Appalachia and Powder River Basin***
- ***Contura introduces 2017 guidance***

(millions, except per share)

	July 26, 2016 to Sep. 30, 2016
Coal revenues	\$212.9
Net loss	(\$51.2)
Net loss per diluted share	(\$4.96)
Adjusted EBITDA ²	\$25.6
Operating cash flow	\$33.7
Capital expenditures	\$12.8
Tons of coal sold	9.7

¹ The reported period as referred to in this document include results from July 26, 2016 through September 30, 2016.

² These are non-GAAP financial measures. A reconciliation of net loss to adjusted EBITDA is included in tables accompanying the financial schedules.

“With our strong set of coal and logistics assets, well-established customer relationships, and experienced production and sales teams, we are excited to chart a new course for our recently formed company,” said chief executive officer, Kevin Crutchfield. “We believe Contura is well-positioned to take advantage of tremendous opportunities in the current market environment, especially in metallurgical coal markets, through our organic production and our Trading and Logistics activities.”

Financial Performance

- Coal revenues in the reported period from July 26, 2016 to September 30, 2016 were \$212.9 million, with Central Appalachia (CAPP) accounting for \$37.2 million and Trading and Logistics accounting for \$53.4 million. On the thermal side, Northern Appalachia (NAPP) revenue totaled \$42.3 million and Powder River Basin (PRB) generated \$80.0 million in coal sales. Freight and handling revenues and other revenues were \$29.9 million and \$2.6 million, respectively, during the reported period.

During the reported period from July 26, 2016 to September 30, 2016, CAPP metallurgical coal shipments were 0.6 million tons at an average per ton realization of \$67.82. Contura shipped 7.4 million tons of Powder River Basin (PRB) coal during the reported period at an average per-ton realization of \$10.76, while NAPP shipments totaled 1.0 million tons at an average per-ton realization of \$43.62. NAPP volumes were affected by the longwall disruption described below. The Trading and Logistics activities shipped 0.8 million tons of coal at an average price of \$65.69 per ton.

- Total costs and expenses during the reported period from July 26, 2016 to September 30, 2016 were \$265.8 million. Cost of coal sales was \$179.4 million. The cost of coal sales in CAPP during the reported period averaged \$60.12 per ton. NAPP cost averaged \$41.47 due to an abnormal rock intrusion which reduced production volumes for a majority of September. The estimated cost impact from the rock intrusion for the reported period was approximately \$10 per ton compared to expected year-to-date production cost. The longwall has progressed beyond this geologic anomaly and further related disruptions are not anticipated. NAPP production returned to normal levels after a longwall move was completed in mid-October. The cost of coal sales per ton for the PRB mines was \$7.90 during the reported period, benefiting from a lower than normal overburden removal, which will likely revert to historical levels during the fourth quarter.
- Selling, general and administrative (SG&A) expense in the reported period was \$9.5 million, including approximately \$3.5 million of non-recurring expenses associated with the formation of the company. Depreciation, depletion and amortization was \$22.2 million during the reported period and amortization of acquired intangibles

were \$23.6 million. Other expense includes a mark-to-market change in value of warrants totaling \$21.9 million, a non-cash charge to earnings.

- Contura recorded a net loss of \$51.2 million, or \$4.96 per diluted share for the reported period from July 26, 2016 to September 30, 2016.
- Adjusted EBITDA was \$25.6 million for the reported period, excluding the previously mentioned \$21.9 million derivative charge related to warrants issued on July 26, 2016.

Additional Information

For additional financial information about Contura, including its condensed consolidated financial statements and report for the period from July 26, 2016 to September 30, 2016, please visit www.conturaenergy.com/financials.

Liquidity and Capital Resources

Cash provided by operating activities for the reported period from July 26, 2016 to September 30, 2016 was \$33.7 million. Capital expenditures for the reported period were \$12.8 million.

As of the end of the third quarter of 2016, Contura had \$114.5 million in total liquidity, including \$72.0 million in unrestricted cash. Total long-term debt, including the current portion of long-term debt as of September 30, 2016, was approximately \$304.0 million.

Subsequent to September 30, Contura fully drew on its \$42.5 million senior secured term loan facility. The term loan matures on July 26, 2020 and has an interest rate of LIBOR plus 500 basis points with a LIBOR floor of 100 basis points.

Acquisition of Core Coal Assets

On July 26, 2016 Contura acquired certain core coal assets from Alpha Natural Resources. The acquisition consisted of Alpha's operations and reserves in Northern Appalachia (including the Cumberland mine complex) and the Powder River Basin, along with three Central Appalachian mining complexes (the Nicholas mine complex in Nicholas County, West Virginia, and the McClure and Toms Creek mine complexes in Dickenson and Wise Counties, Virginia).

The acquisition also included a 41% stake in a strategic export terminal Dominion Terminal Associates in Eastern Virginia with total export capacity of more than 20 million tons.

Market Overview

The global coal supply/demand dynamic has been very positive over the past few months, with both the thermal and metallurgical markets experiencing marked price improvements.

Metallurgical Coal

Specifically, the Australian benchmark metallurgical coal price has increased from \$92.50 in the third quarter of 2016 to \$200 per metric ton in the fourth quarter. Even more dramatically, the spot market for Australian hard coking coal has more than tripled, from approximately \$100 per metric ton as of August 1, 2016 to over \$300 per metric ton currently. This explosive price move has translated into significant strength in the Atlantic Basin with High Volatile A metallurgical coal price currently quoted at \$262 per metric ton, up from \$102 at the beginning of August, 2016 according to Platts. We believe that a combination of reduced coal production as mandated by the Chinese government, undiminished Chinese steel production, and coal production challenges in Australia due to weather, geology and labor issues are the main drivers of the dramatic surge in metallurgical coal prices. These market trends did not have a significant impact on the reported results for the period from July 26, 2016 to September 30, 2016, however, we expect they will translate into meaningfully higher realizations for Contura's high quality metallurgical coal in the fourth quarter and into 2017.

According to the World Steel Association, the global demand for steel is expected to increase by 0.5% in 2017 after a forecasted 0.2% growth in 2016. More importantly for Contura, the demand in our key customer markets is forecast to grow at 2.9% in 2017 in North America with South and Central America expected to grow at a more robust 4.1%. Given the current trade environment in the US and Europe, we believe the steel trends will continue to favor the Atlantic Basin region, which would bode well for US based coal suppliers, such as Contura.

Thermal Coal

While the price move in the thermal segment has been less robust than in the metallurgical market, it has been a welcome sign after the very difficult price environment experienced over the past few years. The API 2 price has shown strong improvements since August 1, 2016 with a 43% increase from \$61.75 to \$88.20 per metric ton as of November 15.

On the domestic thermal front, NAPP prices have increased by approximately 35% from \$35.10 since August 1, 2016 to \$47.20 per ton as of November 15, while CAPP prices have strengthened from \$42.75 to \$62.50 or 46%. PRB has seen a more modest price move over the same period with current price indications in the \$11.70 range for the 8800 BTU coal, up approximately 22%. We believe that the domestic thermal demand has stabilized over the past several months and anticipate that the policies of the incoming administration will be more supportive of a broad range of energy sources.

2017 Outlook

Contura anticipates its 2017 total shipments to be in the range of 43.1 to 50.5 million tons, including 3.5 to 4.3 million tons of captive CAPP coal, 7.6 to 8.2 million tons of Northern Appalachian coal, and 29 to 34 million tons of PRB coal. Included in the total shipments is the Trading and Logistics segment which is expected to generate between 3.0 million and 4.0 million tons of metallurgical coal shipments in 2017. The Trading and Logistics segment includes marketing arrangements with various coal producers and purchased coal activities.

As of November 22, 2016, 30% of the midpoint of anticipated 2017 CAPP coal shipments was committed and priced at an average expected per ton realization of \$101.13. Based on the midpoint of guidance, 100% of anticipated 2017 NAPP steam coal shipments were committed and priced at an average expected per ton realization of \$42.31, and 94% of the midpoint of anticipated 2017 PRB shipments was committed and priced at an average expected per ton realization of \$11.05.

Contura's 2017 guidance for its CAPP cost of coal sales per ton ranges from \$63.00 to \$68.00, which is an increase as compared to year-to-date 2016 performance. This increase is explained in part by a variable component of cost, such as lease royalties, that is directly related to the sales price of coal. PRB cost of coal sales per ton is estimated at a range of \$9.50 and \$10.50, while NAPP is estimated in the range of \$28.00 to \$32.00 per ton. Additionally, costs related to the company's idle operations are expected to be between \$12 and \$15 million. Capital expenditures for 2017 are expected to be between \$90 million and \$110 million, including approximately \$20 million of expansion and environmental capital expenditures. SG&A guidance is \$32 million to \$39 million, including any remaining costs related to the company's formation. Depreciation, depletion and amortization for 2017 is expected to be between \$125 million and \$150 million. We expect 2017 cash interest expense to be between \$32 million and \$35 million.

Guidance

<i>in millions of tons</i>	Low	High
CAPP	3.5	4.3
NAPP	7.6	8.2
PRB	29.0	34.0
Total Production	40.1	46.5
Contura Trading & Logistics	3.0	4.0
Total Shipments	43.1	50.5
<i>Committed/Priced^{1,2,3,4}</i>	Committed	Average Price
CAPP ^(*)	30%	\$101.13
NAPP	100%	\$42.31
PRB	94%	\$11.05
<i>Costs per ton</i>	Low	High
CAPP	\$63.00	\$68.00
NAPP	\$28.00	\$32.00
PRB	\$9.50	\$10.50
<i>Margin per ton</i>	Low	High
Contura Trading & Logistics	\$9	\$15
<i>In millions (except taxes)</i>	Low	High
SG&A	\$32	\$39
Idle Operations Expense	\$12	\$15
Cash Interest Expense	\$32	\$35
DD&A	\$125	\$150
Capital Expenditures	\$90	\$110
Tax Rate	20%	30%

* CAPP committed tons and price information represent captive Contura production and does not include Trading and Logistics.

Notes:

1. Based on committed and priced coal shipments as of November 22, 2016.
2. Actual average per ton realizations on committed and priced tons recognized in future periods may vary based on actual freight expense in future periods relative to assumed freight expense embedded in projected average per ton realizations.
3. Includes estimates of future coal shipments based upon contract terms and anticipated delivery schedules. Actual coal shipments may vary from these estimates.
4. As of November 22, 2016, compared with the midpoint of shipment guidance range.

ABOUT CONTURA ENERGY

Contura Energy is a private, Tennessee-based company with affiliate mining operations across multiple major coal basins in Pennsylvania, Virginia, West Virginia and Wyoming. With customers across the globe, high-quality reserves and significant port capacity, Contura Energy reliably supplies both metallurgical coal to produce steel and thermal coal to generate power. For more information, visit www.conturaenergy.com.

FORWARD-LOOKING STATEMENTS

This news release includes forward-looking statements. These forward-looking statements are based on Contura's expectations and beliefs concerning future events and involve risks and uncertainties that may cause actual results to differ materially from current expectations. These factors are difficult to predict accurately and may be beyond Contura's control. You should also review the risks and uncertainties discussed in the Company's condensed consolidated financial statements and report for the period ended September 30, 2016.

Forward-looking statements in this news release or elsewhere speak only as of the date made. New uncertainties and risks arise from time to time, and it is impossible for Contura to predict these events or how they may affect the Company. Contura has no duty to, and does not intend to, update or revise the forward-looking statements in this news release or elsewhere after the date this release is issued. In light of these risks and uncertainties, investors should keep in mind that results, events or developments disclosed in any forward-looking statement made in this news release may not occur.

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FINANCIAL TABLES FOLLOW

Use of Non-GAAP Measures

In addition to the results prepared in accordance with generally accepted accounting principles in the United States (GAAP) provided throughout this press release, Contura has presented the following non-GAAP financial measures, which management uses to gauge operating performance: Adjusted EBITDA, cost of coal sales per ton and coal margin per ton. These non-GAAP financial measures exclude various items detailed in the attached “Reconciliation of Net Income (Loss) to Adjusted EBITDA”.

The definition of these non-GAAP measures may be changed periodically by management to adjust for significant items important to an understanding of operating trends. These measures are not intended to replace financial performance measures determined in accordance with GAAP. Rather, they are presented as supplemental measures of the Company’s performance that management finds useful in assessing the company’s financial performance and believes are useful to securities analysts, investors and others in assessing the Company’s performance over time. Moreover, these measures are not calculated identically by all companies and therefore may not be comparable to similarly titled measures used by other companies.

Contura Energy Income Statement

	Period from July 26, 2016 to September 30, 2016	
(Amounts in thousands, except share and per share data)	(Unaudited)	
Revenues:		
Coal revenues	\$	212,911
Freight and handling revenues		29,903
Other revenues		2,599
Total Revenue		245,413
Cost and expenses:		
Cost of coal sales (exclusive of items shown separately below)		179,441
Freight and handling costs		29,903
Other expenses		1,092
Depreciation, depletion and amortization		22,230
Amortization of acquired intangibles, net		23,562
Selling, general and administrative expenses (exclusive of depreciation and amortization shown separately above)		9,547
Total costs and expenses		265,775
Loss from operations		(20,362)
Other income (expense):		
Interest expense		(9,090)
Interest income		2
Mark-to-market adjustment for warrant derivative liability		(21,932)
Miscellaneous income, net		207
Total other expense, net		(30,813)
Loss before income taxes		(51,175)
Income tax expense		(1)
Net loss	\$	(51,176)
Basic loss per common share	\$	(4.96)
Diluted loss per common share	\$	(4.96)
Weighted average shares - basic		10,309,310
Weighted average shares - diluted		10,309,310

Contura Energy Balance Sheet

		September 30, 2016
		(Unaudited)
(Amounts in thousands)		
	Assets	
Current assets:		
Cash and cash equivalents	\$	72,047
Trade accounts receivable, net		102,642
Inventories, net		49,720
Other current assets		24,526
Total current assets		248,935
Property, plant, and equipment, net		354,919
Other non-current assets		223,829
Total assets	\$	827,683
	Liabilities and Stockholders' Equity	
Current liabilities:		
Trade accounts payable	\$	60,924
Current portion of long-term debt		1,356
Other current liabilities		130,102
Total current liabilities		192,382
Long-term debt		302,631
Asset retirement obligations		201,622
Other non-current liabilities		135,639
Total liabilities		832,274
	Stockholders' Equity	
Total stockholders' equity		(4,591)
Total liabilities and stockholders' equity	\$	827,683

Contura Energy Cash Flow Statement

	Period from July 26, 2016 to September 30, 2016	
(Amounts in thousands)		
Operating activities:		
Net loss	\$	(51,176)
Adjustments to reconcile net loss to net cash provided by operating activities:		
Depreciation and amortization		22,230
Amortization of acquired intangibles, net		23,562
Accretion of acquisition-related obligations discounts		2,633
Mark-to-market adjustment for warrants derivative liability		21,932
Accretion of asset retirement obligations		4,569
Stock-based compensation		1,941
Other, net		1,567
Changes in operating assets and liabilities		6,412
Net cash provided by operating activities		33,670
Investing activities:		
Capital expenditures		(12,826)
Proceeds from sale of property, plant and equipment		453
Net cash used in investing activities		(12,373)
Financing activities:		
Principal repayments of capital lease obligations		(83)
Principal repayments of notes payable		(167)
Net cash used in financing activities		(250)
Net increase in cash and cash equivalents		21,047
Cash and cash equivalents at beginning of period		51,000
Cash and cash equivalents at end of period	\$	72,047
Supplemental disclosure of non-cash investing and financing activities:		
Accrued capital expenditures	\$	(6,976)
Issuance of equity in connection with acquisition	\$	44,644

Contura Energy Adjusted EBITDA Reconciliation Table

Segment Information						
Period from July 26, 2016 to September 30, 2016						
(Amounts in thousands)	CAPP	NAPP	PRB	Trading and Logistics	All Other	Consolidated
Total revenues	\$ 38,069	\$ 42,808	\$ 80,942	\$ 83,490	\$ 104	\$ 245,413
Depreciation, depletion and amortization	\$ 3,540	\$ 2,537	\$ 16,015	\$ -	\$ 138	\$ 22,230
Amortization of acquired intangibles, net	\$ -	\$ -	\$ -	\$ 23,562	\$ -	\$ 23,562
Adjusted EBITDA	\$ 5,154	\$ 2,663	\$ 21,201	\$ 5,800	\$ (9,181)	\$ 25,637
Capital expenditures	\$ 1,001	\$ 7,485	\$ 3,793	\$ -	\$ 547	\$ 12,826

Reconciliation of Non-GAAP measures						
Period from July 26, 2016 to September 30, 2016						
(Amounts in thousands)	CAPP	NAPP	PRB	Trading and Logistics	All Other	Consolidated
Adjusted EBITDA	\$ 5,154	\$ 2,663	\$ 21,201	\$ 5,800	\$ (9,181)	\$ 25,637
Interest expense	(35)	(68)	(112)	-	(8,875)	(9,090)
Interest income	-	-	-	-	2	2
Income tax benefit (expense)	-	-	-	-	(1)	(1)
Depreciation, depletion and amortization	(3,540)	(2,537)	(16,015)	-	(138)	(22,230)
Change in fair value of warrants	-	-	-	-	(21,932)	(21,932)
Amortization of acquired intangibles, net	-	-	-	(23,562)	-	(23,562)
Net income (loss)	<u>\$ 1,579</u>	<u>\$ 58</u>	<u>\$ 5,074</u>	<u>\$ (17,762)</u>	<u>\$ (40,125)</u>	<u>\$ (51,176)</u>

Contura Energy Results of Operations

Period from July 26, 2016 to September 30, 2016		
(In thousands, except for per ton data)		
	Total	% of Total
Revenues:		
Coal revenues:		
Steam	\$ 119,173	49%
Metallurgical	93,738	38%
Freight and handling revenues	29,903	12%
Other revenues	2,599	1%
Total revenues	<u>\$ 245,413</u>	
Tons sold:		
Steam	8,332	85%
Metallurgical	1,431	15%
Total	<u>9,763</u>	
Coal sales realization per ton ⁽¹⁾ :		
Steam	\$ 14.30	
Metallurgical	\$ 65.51	
Average	\$ 21.81	

⁽¹⁾ Calculated as coal revenues divided by tons sold.

Contura Energy Results of Operations (cont'd)

	Period from July 26, 2016 to September 30, 2016	
	(In thousands, except for per ton data)	
Coal Revenues ⁽¹⁾		
CAPP Operations	\$	37,235
NAPP Operations	\$	42,308
PRB Operations	\$	79,960
Trading and Logistics Operations	\$	53,408
Tons Sold ⁽¹⁾		
CAPP Operations		549
NAPP Operations		970
PRB Operations		7,431
Trading and Logistics Operations		813
Coal sales realization per ton ⁽¹⁾⁽²⁾ :		
CAPP Operations	\$	67.82
NAPP Operations	\$	43.62
PRB Operations	\$	10.76
Trading and Logistics Operations	\$	65.69
Average	\$	21.81

⁽¹⁾ Our All Other Category, which has no coal sales or coal production, is not presented.

⁽²⁾ Calculated as coal revenues divided by tons sold.

Contura Energy Results of Operations (cont'd)

	Period from July 26, 2016 to September 30, 2016	
	(In thousands, except for per ton data)	
Cost of coal sales (exclusive of items shown separately below)	\$	179,441
Freight and handling costs		29,903
Other expenses		1,092
Depreciation and amortization		22,230
Amortization of acquired intangibles, net		23,562
Selling, general and administrative expenses (exclusively of depreciation and amortization shown separately above)		9,547
Total costs and expenses	\$	265,775
Cost of coal sales ⁽¹⁾ :		
CAPP Operations	\$	33,006
NAPP Operations	\$	40,223
PRB Operations	\$	58,672
Trading and Logistics Operations	\$	47,787
Tons Sold ⁽¹⁾ :		
CAPP Operations		549
NAPP Operations		970
PRB Operations		7,431
Trading and Logistics Operations		813
Cost of coal sales per ton ⁽¹⁾⁽²⁾ :		
CAPP Operations	\$	60.12
NAPP Operations	\$	41.47
PRB Operations	\$	7.90
Trading and Logistics Operations	\$	58.78

⁽¹⁾ Our All Other Category, which has no coal sales or coal production, is not presented.

⁽²⁾ Calculated as cost of coal sales divided by tons sold.

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